

Killam REIT: Investment Research, Analysis, and Recommendation

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Executive Summary

The following Investment Research Report aims to evaluate Killam REIT as an investment opportunity. In the first half will explore an evaluation of the Canadian economy, the REIT sector and market, Killam products and services, and a comprehensive business profile of Killam REIT. In the second half of the report there will be important details about the historical financial records, an EPS analysis, risk assessment, and it will close with the investment recommendation.

SECTION ONE: Economic Conditions

Entering 2023, the Canadian economy began with GDP grow rates remaining negative due to circumstances like inflation, high cost of borrowing from high interest rates, higher than previously average immigration, reduced housing investment, unemployment, and global circumstances affected by the pandemic. Inflation was still a pressing issue, recorded at 5.9% in January and persisting even by August at 4.0%, ending at 3.4% in December. This lowered, largely because the Bank of Canada increased the policy interest rate from 4.5% to 5%. Investment in housing declined by 2.1%, an indication of the impact of high interest rates on capital availability. Unemployment started the year at 5% and ended at 5.8% in December. The federal government set immigration rates well above historical averages, pushing quickly into a 1%+ rate per year.

SECTION TWO: Sector and Market Analysis

The real estate market has increased by 28.2% since 2008, to reach \$185.2 billion by 2023. Canadian real estate volume reached a total of 7,039 units, a growth of 2.6%. The segmentation of the market is dominated by residential, which comprises 54.1% of the total value. There are many buyers and players in the market, as well as suppliers and developers. Firm size varies from small, medium, and large. Considering the dramatically higher demand for housing supply

and rentals due to increased rates of immigration, Real Estate Investment Trusts make for a viable investment.

SECTION THREE: Product and Services Analysis

Killam Apartment REIT holds a diverse portfolio of investment properties, mostly in the residential multifamily space along with manufactured home communities (MHCs) and commercial properties. The company generates over \$207 of Net Operating Income (NOI) from 25,502 units, coming in average compared to competing REITs in the multifamily sector. Their most prominent competitors are the Canadian Apartment REIT who generate \$660 million in NOI from 64,260 units, Minto Apartment REIT who generate \$88 million in NOI from 8,291 units and InterRent REIT who generate \$156 million in NOI from 13,907 units, they all invest majority of their capital in multifamily developments and manufactured home communities, slightly differing in the rest of their allocation.

SECTION FOUR: Business Profile and Management Strategies

The REIT is focusing on expanding out of the Maritimes and into large markets throughout Canada. The REIT's strategy is growing earnings and net asset value by increasing earnings from the existing portfolio, geographic expansion and accretive acquisitions and dispositions. The REIT uses a specialized development team for properties in core markets and the REIT is committed to ESG and other core values which will summarize their culture.

SECTION FIVE: Historical Financial Records

Trends in the records of Killam REIT show upward movement with 2 periods of regressions. In the years 2020 and 2022 there were regressions on all recorded fronts, and this can be attributed to global pandemic circumstances like the lockdowns. Investment management appears to be a weak point in the organization. Revenue, CFO, EBITDA margins, and returns all show recovery

from the pandemic circumstances. The Capital Expenditure ratio has been increasing after bottoming out briefly in 2017.

SECTION SIX: Earnings Per Share Forecast:

Our discounted cashflow model forecasts 0.31% upside to the current share price over a one-year period and a 37% increase in the 'for sale' price per share of the company five years out, signifying steady growth. The model incorporates an average YoY revenue growth rate of 7%, while operating expenses increase at a lower rate due to increased efficiency, EBITDA is forecasted to grow at an average rate of 8%, Capital Expenditures (CAPEX) are forecasted to decrease by an average rate of 19% YoY, due to the maturity of the company and Earnings per share (EPS) is forecasted to increase by an average of 28%. Overall, these forecasts reflect a company with strong cashflows growing at a stable rate while heading into a phase of maturity.

SECTION SEVEN: Risk Analysis

The risk analysis consists of interest rate risk, credit risk, energy risk, and rent control risk. With high interest rate risks debt payments with variable rates and subject to high risk, tenants are facing financial constraints leading which may lead to increasing unfulfilled rent payments which imposes credit risk. Although inflation is declining energy prices and shelter costs are still at a high rate, with high energy costs the operations cost may increase allowing energy price risk.

Research Report

SECTION ONE: Economic Conditions

Canadian macroeconomic conditions can be summarized as presently featuring political and social tumult, such as the housing crisis experienced across all of Canada, the aftermath of the Coronavirus Pandemic, and geopolitical instabilities between nations and their domestic elections. Canada relies heavily on international economic activity, as evidenced by Canada's

fifteen working free trade agreements, featuring 51 countries and 1.5 billion consumers. Immigration target rates were increased due to reliance on increasing the labour force. International conditions like the pandemic, supply chain shocks, and economic uncertainty around recessions have made it challenging for many Canadians. In 2023, the Consumer Price Index is recorded at 3.9%, and GDP (ppp) in international dollars grew at +1.292% making it \$2.378 Trillion. Interest rates started at 4.5% and held steady at 5%. But there is still the housing crisis occurring in tandem with a never-before-seen population growth rate. Recovery of economic conditions (avoiding recession or worse, and inflation control), sector stability, and heightened demand for housing with far-too-low supply all come together to generate viable circumstances for the REIT sector and market.

SECTION TWO: Sector and Market Analysis

The housing market has seen growth, and as noted in the economic circumstances Canada finds itself in, has potential for growth. The vacancy rate is at an exceptionally low rate with signs that it will continue to be low for some time. This is due to two significant factors playing

out. First, the housing crisis sees approximately 1.4 million Canadians needing quality housing, and 11% of renters live in social or affordable housing. Second, the surge in population at an unsustainable rate has spiked the need for housing as students, immigrants, and new Canadians enter the market seeking somewhere to live.

Indicators on the conditions of the housing market show shelter prices increased by 5.6%, rent prices increased 6.5%, and the mortgage interest index rose by 28.5%. This coincided with the Bank of Canada's changes to their overnight banking rate, which affected the base values of mortgages loaned out. In 2023, it began at 4.50% but was raised to 5.0% in July 2023.

The REIT market saw growth: 5.3% growth in 2022, with a 113.1 billion valuation of the market. The forecast for the market by 2027 is for it to hit 153.7, a 35.9% increase. Market volume shrank by 5.6% in 2022 to 7.226 million units. Residential units account for 68.2% of the market. Canada represents 5.4% of the American real estate market value. Prices for renters increased year over year from 2017 to 2022: rent price: (ind year 2015=100) 101.3 in 2017 to 113.9 in 2022. The price to rent ratio was 122.2 in 2017 to 155.7 in 2022.ⁱ

Canadian REITs have a specific regulatory framework with requirements: an agreed Trust Declaration, the income tax act rules must be followed, and it must be an open or closed mutual fund with 150 minimum unit holders on a recognized Canadian exchange. At least 80% must be in Canadian holdings, and no more than 10% can be securities or bonds.

Based on data from a Porter's Analysis of the REIT industry, there is significant fragmentation in the market with competition existing from both small and large firms. Underlying uncertainty exists in the sector due to overall global economic circumstances, affecting the level of interest rate and the accessibility of capital. Despite the large number of firms in the market, many wield significant financial muscle offsetting weaker buyer power.

Buyer power is positively influenced by independence and price sensitivity. Supplier power is also considerable (differentiated input, importance of quality vs cost, lack of substitutes) since for an REIT to construct or purchase a new construction, many other companies must be involved in the process such as property agencies, and construction and building contractors. Firms both large and small compete adequately – under the macroeconomic constraints of Canada and the globe – but for entry into the market a firm requires financial muscle in the form of significant capital for purchasing and maintenance. Renters and buyers are all affected.

SECTION THREE: Product and Services Analysis

Killam Apartment REIT

Killam apartment REIT invests in three types of properties, apartments, manufactured home communities and commercial properties.

Portfolio Breakdown

Apartments: Killam owns and operates 19,527 units within 231 properties generating 88% of total net operating income (NOI), which is over \$180 million as of Dec 2022.

Manufactured home communities (MHCs): Killam owns and operates 5,975 units within 40 properties generating 6% of total net operating income, \$13 million as of Dec 2022.

Commercial Properties: Killam owns and operates 40 properties spanning over 900,000 square feet generating 5% of total net operating income, \$11 million as of Dec 2022.

Overall: Killam owns and operates 25,502 residential units along with over 900,000 square meters of commercial space, generating \$207 million in NOI per year as of Dec 2022

(KILLAMREIT, 2024).

Innovative services that enhance portfolio offering

- Electric vehicle charging stations: Over 400 stations have been installed across 50 properties (KILLAMREIT, 2024).
- Solar Program: PV solar has been installed across 23 properties and a \$1.5 million investment has been made to enhance 6 additional properties (KILLAMREIT, 2024).

Competitors:

Canadian Apartment Properties (CAP) REIT

CAPREIT invests in three types of properties, apartments, townhomes, and manufactured home community sites. They differ from Killam due to investments in townhomes and not commercial properties.

Overall: CAPREIT has a much larger portfolio than Killam, CAPREIT owns and operate 64,260 suites across two countries, Canada, and the Netherlands, generating \$660 million in NOI as of December 2023 (CAPREIT, 2023 annual report 2024).

Minto Apartment REIT

Minto Apartment REIT invests in multi-residential properties. Their portfolio is much less diverse when compared to Killam, due to the lack of multiple real estate asset-classes.

Overall: Minto Apartment REIT has a smaller portfolio than Killam, they own and operate 8,291 suites across Canada, generating \$88 million in NOI as of Dec 2022 (Minto Apartment REIT, 2022 Annual report 2023).

InterRent REIT

InterRent REIT also only invests in multi-residential properties. Again, they have a less diverse portfolio when compared to Killam, due to the lack of multiple real estate asset-classes.

Overall: InterRent REIT has a smaller portfolio than Killam, they own and operate 13,907 suites across Canada, generating \$156 million in NOI as of Dec 2023.

SECTION FOUR: Business Profile and Management Strategies

Killam was incorporated May 2000 and completed their first acquisition in February 2002 in Atlantic Canada. Killam's first acquisition in Ontario was in 2010, the first acquisition in Alberta was in 2014. On January 1st, 2016, Killam converted to an REIT. Then in 2020 the first acquisition was completed in British Colombia (KILLAMREIT, 2023).

The following information was taken from Killam REIT's website under financial reports from the January Investor Presentation and Q4 2023 Management Discussion and Analysis. Killam REIT is focusing on geographic diversification for the REIT's growth strategy, 53% of the REIT's revenue was generated from Canadas 13 major cities. The composition is transitioning to develop real estate in primary markets and divesting out of slower markets. In 2018, 73% of property was in Atlantic Canada, 23% in Atlantic Canada, and 4% in Alberta. In 2023, 66% of property was in Ontario, 21% was in Ontario, 10% in Alberta, and 3% in British Colombia. The REIT goal for 2028 is for the composition to contain 55% of property in Atlantic Canada, 27% in Ontario, 13% in Alberta and 5% in British Colombia (KILLAMREIT, 2024).

Killam projects to increase the number of units sold outside Atlantic Canada to approximately under 50% of the portfolio in the next 5 years. The REIT's strategy is to grow earnings and net asset value per unit. To elaborate, the long-term growth strategy is to increase funds from operations (FFO) and net asset value (NAV) and create value for stake holders. This will be accomplished through focusing on increasing earnings from existing portfolios by increasing rental revenue while investing in sustainable energy efficiency. The REIT is also expanding their portfolio and diversifying geographically through accretive acquisitions and dispositions, with a target of newer properties. The REIT is focusing on developing high quality properties in Killam's core markets (KILLAMREIT, 2024).

The REIT increases earnings from the existing portfolio from focusing on three critical factors for NOI growth: occupancy, rental rates, and operating costs. To improve occupancy and marketing the REIT provides specialized employee training, customer service, and using technology and analytics. To expand the portfolio through acquisitions Killam owns the newest apartment portfolios which require less maintenance capital in operation. They also acquire older properties that are well maintained and well located, these factors offer increased earning potential. Killam continues their expansion by acquiring well located assets in Ontario, BC, and Alberta, while adding to the established portfolio in Atlantic Canada. The REIT has a disposition strategy in addition to the acquisition strategy, which is to focus on non-core assets and properties that have low long-term growth potential.

For properties in core markets, Killam uses an experienced development team with architectures and engineers who oversee all projects and have 18 projects to date. The team ensures high quality real estate and features of the team targets building yields higher than market cap-rates on completion to create value for shareholders (KILLAMREIT, 2023).

Killam is committed to ESG which contributes to the REITs culture. Their core values are building community and doing the right things. They believe effective corporate governance is critical to continuance and long run success which maximizes shareholder values. Committing to sound governance increases effective and efficient decision-making. They have made significant progress towards ESG targets in 2003, which was achieved through investing in energy-efficiency projects. They value building and healthy living certifications for their apartment units along with acknowledging housing affordability and supporting affordability by proving more than 950 apartment units with long-term affordability (KILLAMREIT, 2023).

SECTION FIVE: Historical Financial Records

Killam REIT is listed on the Toronto Stock Exchange under the ticker symbol KMP-UN.

The review of this historical data will look at its Balance Sheet, Returns, Dividends, Growth Rate, and Liquidity over annual increments from the Bloomberg business platform.

Balance Sheet

To begin, it appears that the balance sheet shows liabilities exceeding the equity that Killam has held. As of 2023, liabilities are at 2,602.50 and equity is at 2,482.60 (thousands). Both have been increasing consistently. The total debt to asset ratio is at 42.9%, a downward trend from 45% in 2021.

Returns

The returns that Killam generates annually generally perform well with increases over time, except the 2020 blip where it craters. In 2017 Return on Common Equity sat at 12.19, and it increased to 20.46 by 2019, but in 2020 it dropped to 8.67 and 2022 5.59. However, it recovered to 11.2 by 2023.

The Return on Capital demonstrates similar behavior, but as of 2023 it has recovered to 5.82 from 2.83. In 2022. Invested Capital, however, shows a poor investment management performance from Killam. If 2017 is the base value, this is set to 4.24. It has been consistently dropping until 2022, and in 2023 it saw an increase from 3.63 to 3.79.

EBITDA margin demonstrates that Killam's profits are increasing over time, despite the blip in 2020 where the ratio decreased. In 2017 it was 55.69, and as of 2023 it sits at 59.02. The effective tax rate has fluctuated from 15.23% pre-pandemic in 2018, to a bottoming out in 2020, and a return towards pre-pandemic levels at 11.07%.

Liquidity

Capital expenditure ratio indicates that Killam's financial weakness is in its ability to use cash from operations to fund future fixed asset acquisitions. Should they attempt to acquire more green energy products, more property, etc, then funding would have to come from external cash, not cash from operations. This, however, has been on a positive moving trend. As of 2023 it sits at 0.87, so has been approaching >1 where they will be able to fund future fixed assets from cash.

Despite the Capital Expenditure ratio being <1 , their debt ratios have been consistently falling over time. Pre 2019, it was above 100 in most categories (long term and total debt to equity) and has been falling since. Debt to capital ratios sit below 50 at 46.83 for total, and 45.96 for long term debt.

Growth

Killam's growth rate shows an anomalous performance in 2017 at -18.15 , with blips in the years 2020 and 2022. The rates in those years were 4.45 and 1.77 respectively. As of 2023, it sits at 7.62.

Market Data

Revenue reported at CAD 384.2 million, a 5.9% increase over the fiscal year 2022. The dividend ratio is 0.7, with a dividend yield of 3.9838. CFO has remained steady and increasing despite the blip years, ending most recently at 139.7. It is in their investments we see them drastically negative, whereas in investment activities every year it has been negative. This value has been increasing but it remains negative at -69.9 . Overall net changes in cash are positive at 4.9 million, but in 2020 and 2021 they were negative at -10.2 and -1.1 respectively.

Performance and management of their financials shows some strength, and reasonable stability given the global circumstances of the Pandemic, high immigration levels with low housing supply, and a domestic housing crisis.

SECTION SIX: Earnings Per Share Forecast:

Our discounted cash flow model has been exported from Bloomberg Terminal and adjusted based on our view of the company's growth potential and the prevailing macroeconomic environment. The majority of the growth assumptions are averages of analyst forecasts; we believe these are extremely accurate to base our model on due to their historical accuracy and superior access to information.

Using the perpetual growth model, we forecast that the stock price of Killam Apartment REIT will increase by 0.31% over the next year, this is based off of a perpetual growth rate of 2% and Weighted Average Cost of Capital of 7.2%, which reflects steady incremental growth of free cash flow and a healthy cost of capital given the company's large portion of long-term debt and the current high interest rate environment in Canada. The 'For sale' price per share of the company five years out based on the Earnings Before Interest Tax Depreciation and Amortization (EBITDA) multiple model is 37% above the current price of the stock as of April 9th, 2024. Analyst forecasts reflect constant but small year-on-year growth in the company's share price and place a significant premium on the company's EBITDA.

Bloomberg

Discounted Cash Flow

Ticker	kmp-u.cn	Currency	Trading
Name	Killam Apartment Real Estate I	Data	Adjusted (If available)

Summary Analysis

Input Calculation

Output Analysis

Summary Analysis

In Millions of CAD	Dec 18 A	Dec 19 A	Dec 20 A	Dec 21 A	Dec 22 A	Dec 23 A	Dec 24 E	Dec 25 E	Dec 26 E	Dec 27 E	Dec 28 E	Dec 29 E	Trend
Revenue (Estimate Comparable)	217	248	262	292	331	350	368	387	421	443	465	488	
% YoY Growth		0%	6%	11%	13%	6%	5%	5%	9%	5%	5%	5%	
Operating Expenses	95	104	112	124	140	144	151	160	173	182	191	201	
% YoY Growth			8%	11%	12%	3%	5%	5%	9%	5%	5%	5.0%	
EBITDA	127	145	151	168	192	207	217	229	248	261	274	288	
% Margin	58%	58%	57%	58%	58%	59%	59%	59%	59%	59%	59%	59%	
Capital Expenditures	290	172	288	416	183	63	42	27	2	2	2	15	
% of Revenue	134%	69%	110%	142%	55%	18%	11%	7%	0%	0%	0%	3%	
Free Cash Flow		(27)	(138)	(248)	8	143	149	180	219	236	244	243	
% Margin		-11%	-52%	-85%	2%	41%	41%	46%	52%	53%	53%	50%	
No. of Shares Outstanding (MM)	86.1	97.9	103.2	110.6	116.8	118.3	126.2	132.7	139.6	146.3	153.1	161.2	
% YoY Growth (Estimated)		13.70%	5.41%	7.17%	5.61%	1.28%	6.64%	5.22%	5.18%	4.79%	4.62%	5.29%	
Earnings Per Share	0.46	0.42	0.95	0.41	1.19	0.79	1.220	1.295	1.282	1.359	1.321	1.315	
% YoY Growth		-9%	126%	-57%	190%	-34%	54%	6%	-1%	6%	-3%	-0.4%	

Perpetuity Growth Method						
Current Price (CAD)		17.77				
Consensus Price Target		22.40				
DCF Estimated Value per Share (CAD)		17.83				
DCF Estimated Upside		0.31%				
Perpetuity Growth						
		1.0%	1.5%	2.0%	2.5%	3.0%
Discount Rate (WACC)	6.2%	19.11	22.46	26.60	31.84	38.70
	6.7%	15.74	18.46	21.75	25.81	30.96
	7.2%	12.92	15.16	17.83	21.05	25.04
	7.7%	10.52	12.39	14.59	17.20	20.37
	8.2%	8.45	10.03	11.87	14.03	16.60
		1.0%	1.5%	2.0%	2.5%	3.0%
	6.2%	8%	26%	50%	79%	118%
	6.7%	-11%	4%	22%	45%	74%
	7.2%	-27%	-15%	0%	18%	41%
	7.7%	-41%	-30%	-18%	-3%	15%
	8.2%	-52%	-44%	-33%	-21%	-7%

EBITDA Multiple Method						
Current Price (CAD)		17.77				
Consensus Price Target		22.40				
DCF Estimated Value per Share (CAD)		24.26				
DCF Estimated Upside		37%				
Terminal EBITDA Multiple						
		17.8x	19.3x	20.8x	22.3x	23.8x
Discount Rate (WACC)	6.2%	20.78	23.47	26.16	28.84	31.53
	6.7%	19.94	22.57	25.20	27.82	30.45
	7.2%	19.13	21.70	24.26	26.83	29.39
	7.7%	18.34	20.85	23.35	25.86	28.37
	8.2%	17.57	20.02	22.47	24.92	27.37
		17.8x	19.3x	20.8x	22.3x	23.8x
	6.2%	17%	32%	47%	62%	77%
	6.7%	12%	27%	42%	57%	71%
	7.2%	8%	22%	37%	51%	65%
	7.7%	3%	17%	31%	46%	60%
	8.2%	-1%	13%	26%	40%	54%

In Millions of CAD	Dec 18 A	Dec 19 A	Dec 20 A	Dec 21 A	Dec 22 A	Dec 23 A	Dec 24 E	Dec 25 E	Dec 26 E	Dec 27 E	Dec 28 E	Dec 29 E	Year 5
Revenue (Estimate Comparable)	217	248	262	292	331	350	368	387	421	443	465	488	
Revenue (Adjusted)	217	248	262	292	331	350							
% YoY Growth	Edit Row		6%	11%	13%	6%	5%	5%	9%	5%	5%	5%	
(-) Cost of Revenue							-	-	-	-	-	-	
(-) Cost of Revenue (GAAP)													
% of Revenue		0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	
(=) Gross Profit							-	-	-	-	-	-	
% Margin	Edit Row	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	
(-) Operating Expenses/Income		95	104	112	124	140	144	151	160	173	182	191	201
% of Revenue	Edit Row	44%	42%	43%	43%	42%	41%	41%	41%	41%	41%	41%	41%
% YoY Growth		9%	8%	11%	12%	3%	5%	5%	9%	5%	5%	5%	
(=) Operating Income		122	144	150	168	191	206	216	228	248	261	274	287
% Margin		56%	58%	57%	57%	58%	59%	59%	59%	59%	59%	59%	59%
(-) Tax on Operating Income		31	41	10	42	19	33	62	56	69	62	71	75
% Tax Rate	Edit Row	44%	50%	9%	48%	12%	26%	29%	25%	28%	24%	26%	26%
(=) NOPAT		90	103	140	125	172	173	154	172	179	199	202	212
% Margin		42%	42%	53%	43%	52%	49%	42%	44%	43%	45%	43%	43%
(+) Depreciation & Amortization		5	1	1	1	1	1	1	1	1	1	1	1
% of Revenue	Edit Row	2%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
% YoY Growth		-86%	-13%	-9%	0%	17%	5%	5%	9%	5%	5%	5%	
(-) Capital Expenditure		290	172	288	416	183	63	42	27	2	2	2	15
% of Revenue	Edit Row	134%	69%	110%	142%	55%	18%	11%	7%	0%	0%	0%	3%
% YoY Growth		-41%	68%	44%	-56%	-66%	-34%	-36%	-93%	3%	3%	660%	
(-) Changes in Net Working Capital							-	-	-	-	-	-	
% of Revenue	Edit Row		0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
(+) Changes in Net Long Term Deferred Tax Liabilit		40	10	42	19	33	36	34	41	38	43	45	
% of Revenue	Edit Row	16%	4%	15%	6%	9%	10%	9%	10%	9%	9%	9%	
(+) Other User Estimated Non-Cash Adjustments							-	-	-	-	-	-	
% of Revenue	Edit Row						0%	0%	0%	0%	0%	0%	
(=) Free Cash Flow		(27)	(138)	(248)	8	143	149	180	219	236	244	243	244
% Margin	Edit Row	-11%	-52%	-85%	2%	41%	41%	46%	52%	53%	53%	50%	
% YoY Growth			404%	80%	-103%	1662%	4%	20%	22%	8%	3%	0%	
% of the Free Cash Flow to be discounted							73%	100%	100%	100%	100%	27%	
Period for Discount Factor (Mid-Year Convention)							0.36	1.23	2.23	3.23	4.23	4.86	
Discount Factor @ 7.2% WACC							0.97	0.92	0.86	0.80	0.74	0.71	
Present Value of Free Cash Flow (5 Years)							106	165	187	188	182	47	
EBITDA		127	145	151	168	192	207	217	229	248	261	274	288
% Margin	Edit Row	58%	58%	57%	58%	58%	59%	59%	59%	59%	59%	59%	59%
% YoY Growth			14%	4%	12%	14%	8%	5%	5%	9%	5%	5%	

Based on our model revenues are projected to grow at an average rate of 7% year on year (YoY) going from CAD 350 million in 2023 to CAD 488 million in 2029. Operating expenses have been forecasted to increase proportionally at an average of 7% YoY, going from CAD 114 million in 2023 to CAD 201 million in 2029. EBITDA is forecasted to grow at an average rate of 8% YoY, due to an expected increase in operational efficiency, going from CAD 207 million in 2023 to CAD 288 million in 2029. Capital Expenditures (CAPEX) are forecasted to decrease by an average rate of 19% YoY, due to the maturity of the company and a decrease in rapid expansion, going from CAD 114 million in 2023 to CAD 15 million in 2029. Earnings per share (EPS) based off the percentage growth of shares outstanding (forecasted using a five-year moving average growth rate) is forecasted to increase by an average of 28%, going from CAD

0.79 per share in 2023 to CAD 1.315 share in 2029. Overall, these forecasts once again reflect a company with strong cashflows growing at a stable rate while heading into a phase of maturity.

SECTION SEVEN: RISK ANALYSIS:

Interest Rate Risk:

Interest rates are currently at a peak as the Bank of Canada is holding the overnight rate at 5% and is projected to start lowering in the July. High interest rates cause mortgage/loan payments to face upwards pressure. Killam mitigated this risk by having most loans/mortgages as fixed term arrangements while their variable rate debts are still subject to interest rate risk. The REIT also staggers the maturities of their debt which mitigates the risk they face. Despite the mitigation efforts the REIT still faces limited exposure to interest rate increases (Killam,2023).

Credit Risk:

The REIT's tenants are also facing financial constraints which is where credit risk is imposed. Tenants are facing financial difficulty which may result in some of them being unable to meet the fulfillment of lease payments. The REIT performs credit checks and obtains security deposits for risk mitigation. None of Killam's tenants account for more than 4% of tenant's receivable. No single tenant represents too large of a share towards revenue stream and tenant receivables. If unemployment continues to increase and wages continue to increase, and a decreasing rate there will be increased credit risks. The potential of a possible recession is also an important consideration in credit risk (Killam, 2023).

Energy Risk:

At the start of 2024, energy prices increased, which Killam is exposed to the volatility in energy prices. The REIT has invested in energy efficient initiatives to reduce their exposure. With

tensions rising in the middle east and ships avoiding the Suez Canal due to Israel Palestine conflicts there have been many supply shocks which have resulted in high gas prices. With the diversification of the REIT energy sources towards sustainable energy they face less risk while they are still exposed to volatility and may face pressure if conflicts continue to increase. The increase in the Carbon Tax ties into energy risk as taxes paid on fossil fuels will be increased. As mentioned above efficient energy investments protect Killam from the increased tax though they will be negatively impacted (Killam, 2023).

Rent Control:

Killam is exposed to rent control risk, which may adversely affect the REITs operations. The legislation could impact Killam's ability to expand and/or maintain historical levels of cash flows from existing properties, which is important to consider as recently high levels of inflation were observed. All though CPI is recovering there are lags in shelter costs and energy prices. Future legislation regarding eviction, work order, health, and safety issues, and more may lead to higher operating costs which may have an adverse effect on earnings (Killam, 2023).

SECTION EIGHT: Investment Recommendations

This report finds Killam REIT to merit the recommendation: buy. The recommendation is for investors to make a calculated purchase where possible. Based on the analysis of risk, there are factors that should be considered for this decision: the deteriorating macro-economic environment, interest rates of outstanding debt, credit rating, energy source stability, and exposure to rent control.

The existing macroeconomic conditions offer conflicting forces. First, the high interest rate environment makes it expensive to service existing debt or take on additional debt to fund

expansion. Second, is the peak immigration rates exacerbate demand that exceeds the supply construction rate. Based on RBC's The Great Rebuild report, Canada needs a minimum 320,000 homes a year to meet existing future demand 2023-2030, and an even higher amount to account for population growth. Investor risk preferences will factor in significantly, but the exogenous factors like exposure to rent control, efficiency and green energy, and others, are within acceptable margins.

Furthermore, our discounted cashflow model forecasts steady growth in the share price after incorporating an average YoY revenue growth rate of 7%, revenues increase from CAD 350 million in 2023 to CAD 488 million in 2029 while operating expenses increase at a lower rate due to increased efficiency, other metric also show growth and result in strong and stable cash flows. The share price has been floating at \$17.50 +/- 0.32 during the week of April 8th, 2024, with projections for share price to hit an average increase of \$22.21, and high increase of \$23.85 by 2029. These factors result in a BUY recommendation for investors looking for a low risk, robust investment.

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ⁱ Average rent for 1 bedroom units: in Halifax, Nova Scotia, from \$910 in 2018 to \$1168 in 2022; in Edmundson, New Brunswick from \$460 in 2018 to \$600 in 2022; in Montreal, Quebec from \$764 in 2018 to \$964 in 2022; in Toronto, Ontario from \$1263 in 2018 to \$1529 in 2022.